Alignment Healthcare (ALHC)

The star cost about $1.25 in a day and is priced. The cost base is the bigger problem: the richest 2027 plans in its markets, faster hospital use per member at home, and reserve estimates that stopped proving conservative.

Thesis in three lines

1. On the stars day Alignment lost $1.28 against peers, $1.25 against peers without Humana and $1.22 against the market, close to my $0.98 for the star. The September fall, 28.7 points against peers (about $3.71), followed management's comments on a claims system change and late 2025 hospital bills.

2. Counted the way peers count it, after stock pay, 2027 EBITDA is $129m. At the 21 Oct close the peer multiple (10.69x) gives $8.15 before the star and $7.17 after it, against a price of $8.44. On 8 Oct the same arithmetic gave $7.56 against $8.71: the star came out of a premium the comparable numbers never supported.

3. Member-weighted across all 55 of its counties, Alignment's 2027 general plans give $823 a member a year in giveback plus allowances against $308 for rivals ($383 SCAN). Hospital days per MA member in LA and Orange ran 1.6-2.5 pts a year ahead of the rest of California (HCAI, CMS; to Q1 2026). Its 2025 reserve release was the peer median (0.64% of revenue) but 18% of adjusted EBITDA; ex-PAD development turned $6.5m adverse in Q2. Stock pay is 37% of 2027 adjusted EBITDA against 2.7% at the median peer: leaving it out gives $10.97, and that $3.80 is the disagreement with the Street.

Pre-set rules for the 29 October print

Back to Hold if the Q3 adjusted MBR is 87.5% or lower with favorable prior-year development and the FY guide intact; toward Buy at 87.0% or lower with guidance raised. Add to the Sell if the MBR is 88.5% or higher, prior-year development is unfavorable for a second quarter, or the FY adjusted EBITDA guide is cut below $145m. My Q3 estimates are in the public repository before the print.

Catalysts and dates

Date	Event	What to watch
27 Oct	Centene Q3	MA trend; Part D redesign year two
29 Oct	Alignment Q3	Adj. MBR vs 88.7% (mine); prior-year development; unpaid-claims days; FY guide
6 Nov	Humana Q3	MA trend; 2027 margin outlook
7 Dec	Enrollment period ends	Read-through to January membership
Early 2027	CMS monthly enrollment, January 2027	First hard read on 2027 growth by contract (H3815, H6697)
Feb 2027	Alignment FY2026 results and 2027 guidance	Guided MBR vs my 87.8%
Pending	2027-ratings lawsuit (D.D.C., filed 9 Oct)	Win worth about $0.47; base rate 4 of 9 rulings
Oct 2027	CMS 2028 Star Ratings	Whether H3815 gets back to 4 stars

Risks to the rating

Upside: a Q3 MBR near Alignment's seasonal pattern (about 86.9%), the market keeping its convention of valuing earnings before stock pay ($10.97), margins after stock pay reaching 3% (DCF $13.33), or a lawsuit win (+$0.47). Downside: each point of 2027 MBR is $3.22 a share; regulated cash treated as trapped gives $4.54; a second unfavorable reserve quarter; RADV extrapolation, which is undisclosed.

Rating	SELL
Prior drafts (unpublished)	Hold $7.20 (v13); Sell (v14-v15)
Price (21 Oct close)	$8.44
12-month price target	$7.17 (-15%)
Primary method	Peer EV/EBITDA, 2027
Market cap (diluted)	$1.81bn
Enterprise value	$1.44bn
Diluted shares	215.0m
Net cash (consolidated)	$372m
Parent cash / notes	$135m / $330m
Short interest	11.7% of float
Days to cover	2.2
Borrow fee	0.25%
Street mean target	$13.31 (13); $10.75 (4 reset)
Street ratings	10 Buy, 4 Hold, 0 Sell (14)
Beta (5y monthly)	1.14

Estimates ($m except per share)

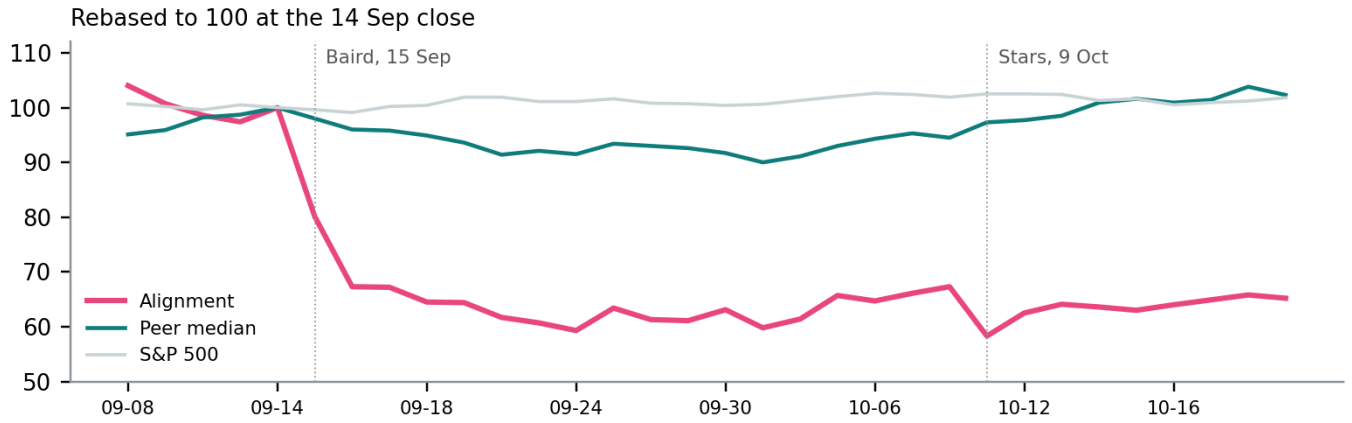
	25A	26E	27E	28E
Revenue	3,949	5,210	6,475	7,692
Adj. MBR	87.5%	87.9%	87.8%	87.8%
Adj. EBITDA	110	145	206	221
After stock pay	48	77	129	141
Adj. EPS (co.)	n/a	0.45	0.70	0.73
EPS after stock pay*	n/a	0.10	0.27	0.30
EV/EBITDA after SP		18.7x	11.2x	10.2x

*Taxed at 24%, 215.0m shares. 2028 includes a $38.6m expected stars hit. EV $1,443m on diluted shares (21 Oct close).

Analyst

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github.com/brexitmiyagi/alhc-stars-rebuild

What the market has already charged



Window (closes)	Alignment	vs peers	vs peers ex-HUM	vs market (beta 1.14)
14 to 16 Sep: Baird, claims system and cost comments	-32.7%	-$3.71	-$3.76	-$4.10
16 Sep to 8 Oct	+0.0%	+$0.19	+$0.22	-$0.28
8 to 9 Oct: 2027 Star Ratings	-13.4%	-$1.28	-$1.25	-$1.22
8 to 21 Oct: stars release to date	-3.1%	-$1.04	-$1.02	-$0.26
14 Sep to 21 Oct: whole period	-34.8%	-$4.80	-$4.73	-$4.77

Peers: UnitedHealth, Humana, Elevance, CVS, Centene, Molina, Cigna. Abnormal = Alignment less the peer median return. Yahoo Finance daily closes, cross-checked with StockAnalysis and Google Finance (scripts/event_study.py).

The stars-day charge holds on every benchmark, about $1.25. Since then the answers split: $1.04 behind peers that rallied on their own Q3 prints, $0.26 behind the market. What the price has not done is move to comparable value. At the 8 Oct close, the peer multiple on EBITDA after stock pay gave $7.56 before any stars cost against an $8.71 price, a $1.15 premium. At the 21 Oct close it gives $8.15 against $8.44, and $7.17 after the star.

What's in the price

	Price / consensus	Mine	Gap
Share price (21 Oct close)	$8.44	PT $7.17 (Sell)	-15%
2026 revenue	$5,218m	$5,210m	-0.2%
2027 revenue	$6,506m	$6,475m	-0.5%
2027 adj. EBITDA	$205.9m (S&P)	$205.6m	-0.2%
2027 adj. EPS (company definition)	$0.65 Yahoo / $0.74 S&P	$0.70	inside the range
2027 MBR at which my primary method equals the price	87.43%	87.83%	0.40 pts
Long-run margin after stock pay the DCF needs at $8.44	2.06% (8.9% WACC)	3.0% assumed	+0.9 pts
Street 12-month target	$13.31 mean of 13; $10.75 mean of 4 reset since 9 Oct	$7.17	

Why Sell now rather than after the print

The last print, on 30 July, moved the stock 20.2% the next day (Yahoo closes; OCBJ reported a fall of more than 20%). The options chain is too thin to read an implied move for 29 October.

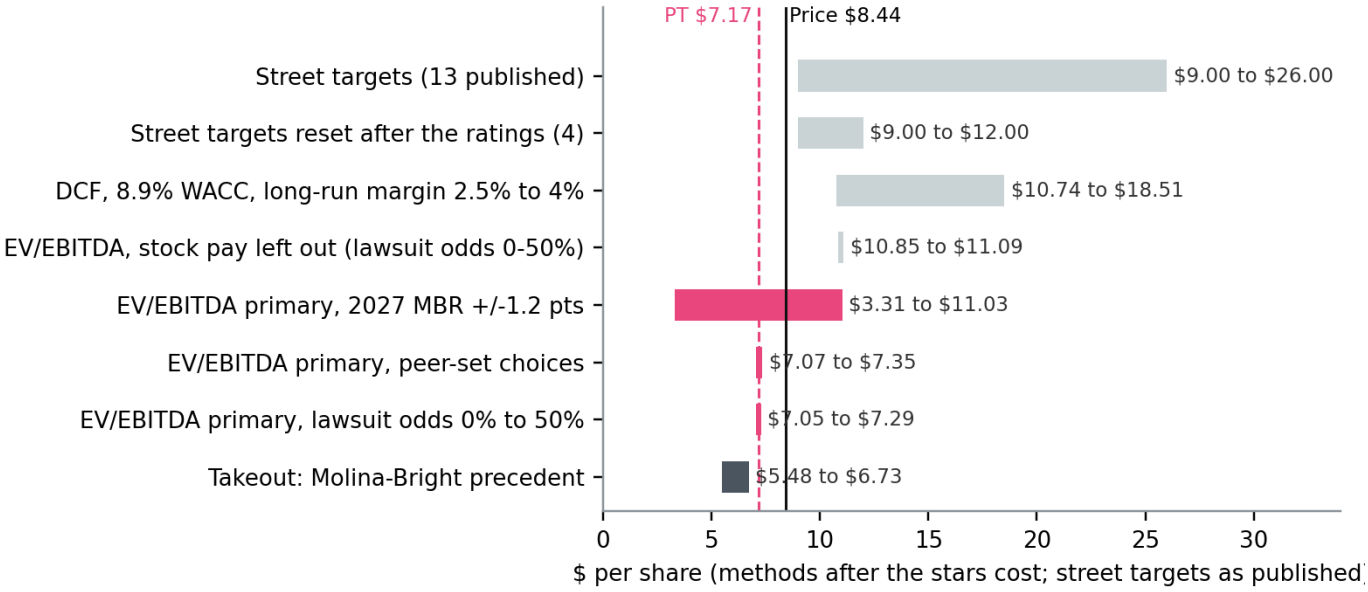
The target is 15% below the price, and the 25/50/25 cost-ratio scenarios average the same $7.17, so the valuation says Sell. The case for waiting is real: Alignment's second-half cost ratio came in 1.05, 1.84 and 0.07 points below the first half in 2023 to 2025, UnitedHealth and Elevance both reported better medical cost ratios, and if Q3 follows 2025's shape it prints about 86.9% adjusted against my 88.7%. Against that, the reserve now sits at the low end of its 2024 range after the backlog cleared, and each day of claims it holds (about $4.3m) is a fifth of the low end of the Q3 EBITDA guide. I state the rules that would take me back to Hold rather than wait.

Valuation

Primary method: peer-median forward EV/EBITDA on 2027, with EBITDA after stock pay and cash netted the way the peers' enterprise values net it. Managed care is usually valued on P/E. I do not use it this year: at under 1% net margin after stock pay, one point of cost ratio moves 2027 EPS by more than 100%, so the multiple says little.

Step	Value
Peer-median 2027 EV/EBITDA (S&P Global consensus EBITDA; consolidated net debt end-2025; 21 Oct closes)	10.69x
Alignment 2027 adj. EBITDA, my model (consensus $205.9m)	$205.6m
Less stock pay (peers' EBITDA is after it)	-$76.3m
EBITDA after stock pay	$129.3m
Enterprise value at the peer multiple	$1,382m
Plus net cash: $701.7m cash and short-term investments less $330m convertible notes (30 Jun 2026)	+$372m
Equity value / 215.0m diluted shares	$8.15
Less stars cost (8.90% WACC; 25% lawsuit odds; 2028-2030 rebates, tenure-weighted members)	-$0.98
12-month price target	$7.17

Cross-checks



Check	Value	Note
DCF, WACC 8.90%, long-run margin 3.0%	$13.33	Price implies 2.06%; 7.38% WACC $18.84, 9.75% $11.35
Same multiple, stock pay left out	$10.97	Alignment's and consensus's convention
Stars cost at 0% / 44% / 100% lawsuit odds	$7.05 / $7.26 / $7.52	44% = base rate, rulings counted once (4 of 9)
Molina-Bright precedent (Jan 2024): $4,587/member, 0.32x revenue	$5.48 to $6.73	Distressed seller; $110m contingent on Part D stars
Peer set without CVS and Cigna / without Humana and Molina	$7.35 / $7.07	10.99x / 10.51x
Cash: parent plus dividend capacity / parent only	$4.88 / $4.54	Inconsistent with how peers are measured

The DCF counts only cash free of claims and capital rules (parent cash plus the $72.9m the subsidiaries can pay without approval), because claims cash arrives with premiums and leaves with claims and sits in working capital. The multiple method nets all cash because the peers' enterprise values do. Peer net debt is at end-2025 while Alignment's cash is at June 2026; EV/EBITDA uses S&P; Global consensus via MarketScreener, with page dates from 15 September to 16 October; prices are 21 October closes and consensus was rechecked on 22 October (unchanged).

Discount rate and scenarios

Input	Value	Source
Risk-free rate	5.15%	10-year Treasury, FRED DGS10, 19 Oct 2026 (latest)
Equity risk premium	4.20%	Damodaran implied ERP, 1 Oct 2026
Beta: Alignment / peer median	1.14 / 0.71	Yahoo 5-year monthly; my 2-year weekly gives 0.49
Cost of debt	4.25% pre-tax	Coupon on the convertible notes due 2029 (conversion about $16.04). At an 8% straight-debt cost: WACC 9.34%, stars cost $0.95, PT $7.20
Equity weight	84%	Market cap at 215.0m shares vs $330m notes
WACC: peer beta / Alignment beta / plus 1% size premium	7.38% / 8.90% / 9.75%	Base 8.90%

2027 MBR case	MBR	Target
Bear (symmetric, +1.2 pts)	89.03%	$3.31
Base	87.83%	$7.17
Bull (symmetric, -1.2 pts)	86.63%	$11.03
25/50/25 weighted, symmetric		$7.17
Bridge's own cases (+1.53 / -0.84 pts), weighted		$6.62
One point of 2027 MBR		$3.22 a share

The bridge's own cases are asymmetric because its bear case lets cost trend run 0.6 points hot with nothing matching on the bull side. With symmetric cases the weighted value equals the base, so the weighting no longer tilts the answer.

Financial summary

Line	2025A	2026E	2027E	2028E
Members, year end (k)	236.3	299.5	353.4	406.4
Revenue ($m)	3,949	5,210	6,475	7,692
Revenue growth		31.9%	24.3%	18.8%
Adj. MBR	87.5%	87.9%	87.8%	87.8%
Adj. gross profit ($m)	495	631	788	937
Adj. SG&A ratio		9.3%	9.0%	8.8%
Adj. EBITDA ($m)	109.9	145.2	205.6	221.0
Adj. EBITDA margin	2.78%	2.79%	3.17%	2.87%
Stock pay ($m)	62.1	68.5	76.3	80.1
EBITDA after stock pay ($m)	47.8	76.7	129.3	140.9
Margin after stock pay	1.21%	1.47%	2.00%	1.83%
D&A ($m)	30.4	31.4	34.6	38.0
Interest ($m)	15.8	16.9	17.1	17.1
Pre-tax income, approx. GAAP ($m)	-1.0	27.9	77.6	85.8
Net income ($m)	-0.7	26.6	75.3	83.2
Adj. EPS, company definition ($)		0.45	0.70	0.73
GAAP EPS ($)	0.00	0.12	0.34	0.37
EPS after stock pay, taxed 24%, 215.0m shares ($)		0.10	0.27	0.30
Cash and equivalents ($m)	576	720	919	1,132
Total assets ($m)	1,066	1,306	1,613	1,929
Medical expenses payable ($m)	475	624	770	912
Days claims payable	50.1	49.7	49.4	49.3
Convertible notes, carrying ($m)	323	325	327	330
Stockholders' equity ($m)	179	280	432	595
Cash from operations ($m)	140	156	235	249
Capital expenditure ($m; 2026E second half only)	27	18	36	36
Cash per share, consolidated ($)	2.82	3.35	4.27	5.26

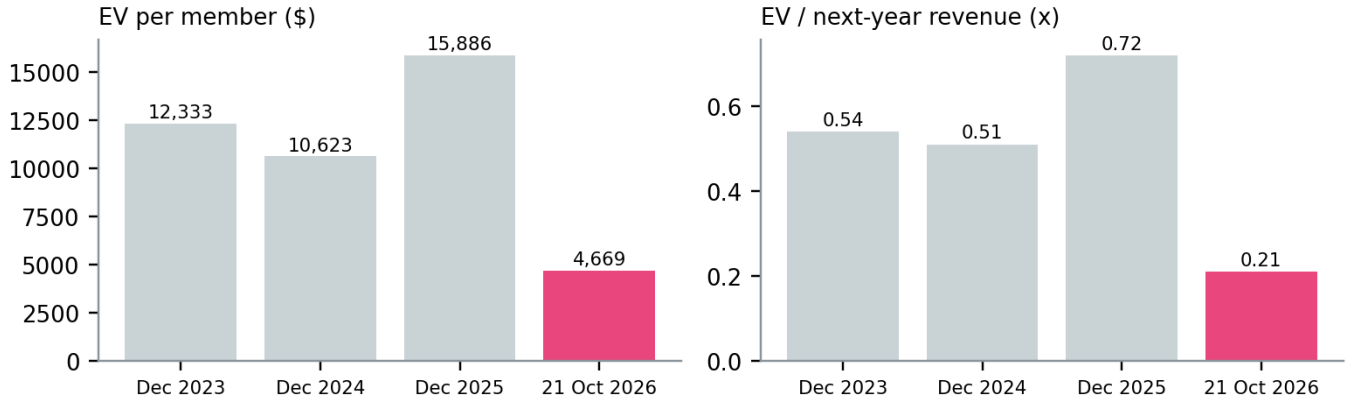
2025 actual from the FY2025 10-K and the Q4 2025 release; 2026 to 2028 from model/ALHC_model.xlsx. 2026 cash from operations is the first-half actual ($111.4m) plus my second half.

Estimates against consensus

Line	Mine	Consensus	Difference	Source
Revenue 2026E ($m)	5,210.0	5,217.9	-0.2%	Yahoo, 17 Oct (11 analysts)
Revenue 2027E ($m)	6,475.5	6,505.7	-0.5%	Yahoo, 17 Oct
Adj. EBITDA 2026E ($m)	145.2	148.3	-2.1%	S&P Global via MarketScreener
Adj. EBITDA 2027E ($m)	205.6	205.9	-0.2%	S&P Global via MarketScreener
Adj. EBITDA 2028E ($m)	221.0	224.6	-1.6%	S&P Global via MarketScreener
Adj. EPS 2026E ($)	0.449	0.453	-0.7%	Yahoo, 17 Oct
Adj. EPS 2027E ($)	0.697	0.650	+7.2%	Yahoo, 17 Oct (S&P 0.74, 9 Oct)
Q3 2026 adj. EPS ($)	0.037	0.043	-14.1%	Yahoo, 17 Oct (4 analysts)
Q3 2026 revenue ($m)	1,310.0	1,313.1	-0.2%	Yahoo, 17 Oct (11 analysts)

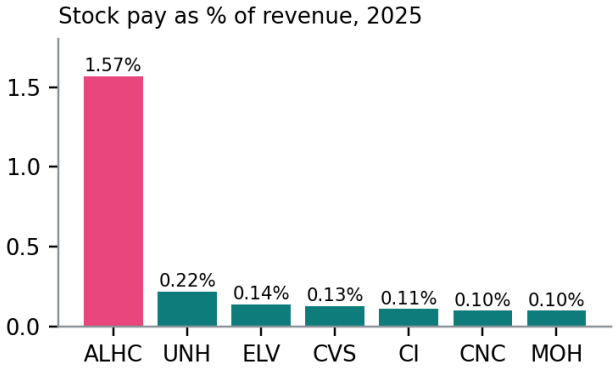
2028 adjusted EBITDA is after my $38.6m expected stars hit; consensus may not include it.

Valuation history



EV = price x shares + debt - cash - short-term investments at each date; next-year revenue is the following year's actual (2024, 2025) or my estimate (2026, 2027). On next-year adjusted EBITDA before stock pay: 18.3x at end-2024, 25.9x at end-2025, 6.7x on 21 October. After stock pay, on 215.0m diluted shares, 11.2x against a 10.69x peer median. Forward consensus history is not available free, so these are realized or estimated next-year figures, not historical consensus.

Stock pay and dilution

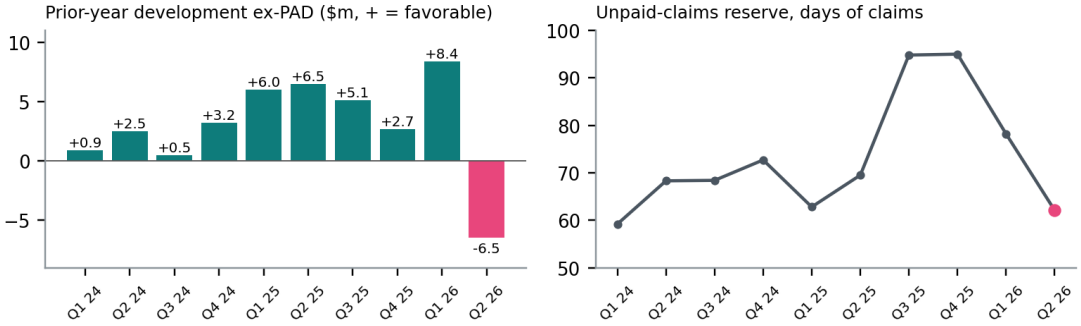


Stock pay was $62.1m in 2025, 1.57% of revenue, against 0.10% to 0.22% at the peers (Humana not available in XBRL). Weighted basic shares went from 190.9m in Q2 2024 to 207.4m in Q2 2026, up 8.7%, with 215.0m diluted. I expense stock pay and hold shares at 215.0m so it is counted once.

Positioning

Measure	Value	Source
Short interest (30 Sep 2026)	23.6m shares, 11.7% of float (prior 22.8m)	Yahoo; finviz 11.9%
Days to cover	2.2	Yahoo; finviz 2.9
Borrow fee / available	0.25% / 6.9m shares	IBorrowDesk (Interactive Brokers), 16 Oct
Street ratings	3 strong buy, 7 buy, 4 hold, 0 sell (14 recommendations)	Yahoo recommendation trend, 21 Oct
Street targets	13 published: mean $13.31, median $11, range $9 to $26. Reset since 9 Oct: JPMorgan $10, KeyBanc $12, TD Cowen $12, UBS $9 (mean $10.75)	Yahoo upgrade/downgrade history; TIKR; TheFly

Reserve quality



Medical expenses payable and claims incurred but not paid: SEC XBRL (us-gaap LiabilityForClaimsAndClaimsAdjustmentExpense and the IBNR claims amount), tied to the 10-Q reserve table. Prior-year development excluding the provision for adverse deviation from each 10-Q and 10-K reserve note; Q4 = annual less nine months. Days payable = payable / (quarterly medical expenses / days). Unpaid-claims days = unpaid claims / (current-year claims through the reserve / days), so capitation does not dilute it. scripts/reserves.py.

The claims-system backlog is visible: unpaid-claims days ran 59 to 73 through 2024, reached 95 in late 2025 and 78 in March 2026. It cleared in Q2 2026: prior-year claims paid in the first half were $245.4m against a $297.4m opening estimate (83%, against 76% in 2025), the reserve fell to 62 days, and development turned $6.5m unfavorable (0.49 points of Q2 revenue) after nine favorable quarters. A second unfavorable quarter is a Sell trigger.

Prior-year development as reported, % of revenue	2024	2025
Alignment	0.34%	0.64%
Centene	1.50%	1.19%
Humana	0.60%	0.79%
Elevance	0.98%	0.65%
Molina	1.66%	0.22%
UnitedHealth	0.17%	0.03%
Peer median	0.98%	0.65%

SEC XBRL, FY2024-2025 10-Ks; favorable = earlier reserves too high; reported basis includes margins. Alignment's release is normal; it is 18% of 2025 adjusted EBITDA because the margin is thin. H1 2026 reported: $17.8m favorable; ex-PAD: $1.8m. scripts/peer_reserves.py.

HCAI: MA inpatient use, yoy (same hospitals)	Q3 2025	Q4 2025	Q1 2026
LA + Orange: MA days	+4.0%	+5.8%	+4.6%
LA + Orange: MA enrollment (CMS)	+3.7%	+3.6%	+3.3%
LA + Orange: days per MA member	+0.3%	+2.1%	+1.2%
Rest of California: days per MA member	-2.1%	+0.5%	-1.3%
LA + Orange: discharges per MA member	+2.0%	+1.8%	+3.0%
Rest of California: discharges per MA member	-0.1%	+0.9%	-0.3%
LA + Orange days per discharge (vs a year earlier)	5.47 (5.57)	5.63 (5.61)	5.72 (5.82)

HCAI Hospital Quarterly Financial and Utilization Report, Q3 2024-Q1 2026 (latest published); CMS MA State/County Penetration, mid-quarter months. Most raw growth is enrollment; the per-member gap of 1.6 to 2.5 points survives each quarter. All MA plans; hospitals counted where they sit, members where they live. scripts/hcai_hospital_use.py, scripts/hcai_per_member.py.

What Alignment is selling for 2027: all 55 counties, weighted by members

Segment	Who	Members	Giveback $/yr	Allowance $/yr	MOOP
General	Alignment	199,820	439	384	$2,656
General	All rivals	2,809,922	151	157	$3,210
General	SCAN	350,230	99	284	$1,059
General	UnitedHealth	531,015	68	109	$3,332
C-SNP	Alignment	73,442	2	2,250	$7,721
C-SNP	All rivals	263,980	11	1,465	$4,151
D-SNP	Alignment	11,584	0	2,530	$8,849
D-SNP	All rivals	868,139	0	1,961	$9,802

CMS PBP Benefits 2027, CPSC enrollment Oct 2026, 2027 crosswalk; covers 284,846 of 301,157 Alignment members. Giveback is a premium reduction funded from rebates (revenue); allowance is a benefit cost; both plan maximums. scripts/benefits_all_counties.py.

The 2027 cost ratio, and how far to trust it

Step	Bear	Base	Bull
2026E MBR (model)	87.88%	87.88%	87.88%
Member maturity (half credit in base)	0.00	-0.50	-1.00
Rate (4.98%) vs effective growth rate (5.33%)	+0.80	+0.29	+0.29
2027 benefit design	0.00	-0.20	-0.20
Second-half 2026 pressure carried	+0.66	+0.33	0.00
2027E MBR	89.34%	87.81%	86.98%

Backtest of the same method	Maturity	Rate vs trend	Carry	Predicted	Actual
2025 (vs 2024)	+0.06	-1.22	-0.45	-1.61	-1.40
2026 (vs 2025, guidance-based)	-0.45	+3.48	-0.02	+3.01	+0.38

The bridge got 2025 within 0.2 points and missed 2026 by 2.6, because CMS's 9.04% effective growth rate for 2026 was a catch-up in benchmarks, not a jump in Alignment's costs. For 2027 the rate-versus-trend term is small (+0.29), so most of the risk sits in maturity and the carry, but the backtest says to treat 87.8% as roughly plus or minus a point. Inputs: CMS rate announcements for 2025 (3.70%, growth rate 2.33%), 2026 (5.06%, 9.04%) and 2027 (4.98%, 5.33%); year-end members 119.2k, 189.1k, 236.3k and 299.5k guided.

2026 guidance arithmetic

Q3 adj. EBITDA	Q4 needed for the $145m low end	FY if Q4 = 0.35x Q3 (2025 shape)
$15m	$24.0m	$126.3m
$20m (mine)	$19.0m	$133.0m
$25m	$14.0m	$139.8m
$30m	$9.0m	$146.5m
$35m	$4.0m	$153.3m

First-half adjusted EBITDA was $106.0m, so the second half needs $39m to $57m for the $145m to $163m range. In 2025 Q4 adjusted EBITDA ($11.4m) was 0.35 times Q3 ($32.4m). If that shape repeats, the low end needs a Q3 of about $28.9m.

Q3 preview (29 October)

Line	Mine	Guidance	Consensus	What moves my rating
Revenue	$1,310m	$1,300-1,320m	$1,313m (11)	
Adjusted MBR	88.7%	about 88.3%	n/a	Hold at 87.5% or lower; add to Sell at 88.5%+
Adjusted EBITDA	$20m	$20-30m	n/a	~$29m needed for the $145m FY low end
Adjusted EPS	$0.04	n/a	$0.0425 (4)	was $0.135 in July
Members	296,500	295,500-297,500	n/a	
PYD ex-PAD	flat to adverse	n/a	n/a	adverse again adds to the Sell
Unpaid-claims days	low 60s	n/a	n/a	2024 range 59-73; Q2 62
FY adj. EBITDA guide	$145m	$145-163m	n/a	cut below $145m adds to the Sell

My estimates were pre-registered on 17 October. Consensus: Yahoo Finance, 22 October. Peer prints so far (UnitedHealth MCR 88.4% vs 89.9%; Elevance benefit ratio 90.6%, 70 bp better) read against my carry term.

Capital

At end-2025 the regulated subsidiaries held $268.5m of regulatory capital against a $116.1m combined minimum (2.3x; 2.1x a year earlier) and could pay the parent $72.9m without approval (FY2025 10-K). Scaled with revenue, the minimum is about $190m in 2027; with my earnings retained, cover holds near 2x. Per-plan statements with California's regulator were not retrievable; a public records request has been drafted.

Contract-level model

Contract	State	Members Oct 2026	Share	2027 stars	Bonus in 2028	2027E revenue
H3815 (HMO)	CA	225,609	74.9%	3.5	No: -$133.6m rebate dollars	$4,856m
H5296 (HMO)	NC	33,433	11.1%	4.5	Yes	$727m
H5472 (HMO)	AZ	10,791	3.6%	4.5	Yes	$227m
H3443 (HMO)	AZ	10,685	3.5%	4.0	Yes	$222m
H4961 (PPO)	CA	8,009	2.7%	4.5	Yes	$166m
H9686 (HMO)	NV	6,818	2.3%	4.0	Yes	$153m
H8832 (PPO)	CA	4,945	1.6%	4.0	Yes	$108m
H7074 (PPO)	NC	867	0.3%	too few	No	$17m
H6697 (new 2027)	CA	0		new	No (parent avg 3.71)	
Total		301,157	100%		25% of members	$6,475m

CMS Monthly Enrollment by Contract (October 2026), 2027 Star Ratings and 2027 rate book; revenue allocated by members x county benchmark (scripts/contract_model.py, model/ALHC_contract_model.xlsx). Contracts outside California grew 83% from February 2025 to February 2026; H3815 grew 21%.

Risks to the price target

Risk	Direction	Size
Q3 adj. MBR near the seasonal pattern (about 86.9%) removes the carry in the bridge	Up	+$1.07 (0.33 pts)
Market keeps valuing earnings before stock pay	Up	PT $10.97
Margins after stock pay reach 3% for good (DCF)	Up	$13.33
2027-ratings lawsuit win restores H3815's bonus (I use 25% odds; base rate 44%)	Up	+$0.47 if won
Q2 reserve charge proves a one-off from the backlog	Up	removes a Sell trigger
Strategic bid above the Bright precedent	Up	not modeled
Each point of 2027 MBR above 87.8%	Down	-$3.22
Regulated cash treated as trapped	Down	$4.54
Second unfavorable reserve quarter; each day of claims in the reserve is about $4.3m	Down	adds to the Sell
Full-year guide cut below $145m (Q3 under about $29m on 2025's shape)	Down	triggers Sell
RADV extrapolation upheld on appeal (PY2019 audit of H3815 under way)	Down	undisclosed
Whistleblower suit (Kardes, filed July; motion to dismiss denied 5 Oct): alleges $8m-$10m of 2024 opex capitalised. Audit Committee review found the concerns unfounded	Down	unquantified
Per-member hospital gap proves to be cross-county patient flow, not heavier use	Up	weakens the cost case

Disclosures and certification

I, Sameer Shahzad, certify that the views here are my own and that I have received no compensation related to the views in this note. My position in ALHC, if any, is disclosed with the published article on Seeking Alpha. I am not a registered investment adviser or broker-dealer, and this is research commentary, not investment advice or a recommendation to any person. Ratings: Buy, Hold, Sell on 12-month total return relative to the S&P; 500. Data and model: github.com/brexitmiyagi/alhc-stars-rebuild. Drafting and data work used AI assistance; every figure was checked against the cited primary source between 17 and 22 October 2026.

Sources (accessed 17 to 22 October 2026)

Alignment Healthcare 10-K FY2025 and 10-Qs 2024 to 2026 (SEC EDGAR, reserve notes, XBRL companyfacts and companyconcept API); CMS PBP Benefits 2027, Monthly Enrollment by Contract/Plan/State/County (Oct 2026) and 2027 Plan Crosswalk; HCAI Hospital Quarterly Financial and Utilization Reports (CHHS Open Data); CMS MA State/County Penetration (Aug 2024 to Feb 2026, Oct 2026); Georgetown Health Care Litigation Tracker and news coverage of each star-ratings ruling; Fierce Healthcare and Becker's Payer Issues on the Kardes suit; OCBJ on the 15 Sep Baird remarks; Q4 2025 and Q2 2026 earnings releases; CMS Star Ratings, Plan Payment Data, Landscape files and Rate Announcements 2025 to 2027; MarketScreener (S&P; Global consensus) for peer EBITDA and net debt; Yahoo Finance for prices, consensus EPS, betas, short interest and Street targets; finviz; IBorrowDesk; FRED DGS10; Damodaran implied ERP; Bright Health 8-K Ex 99.1 (5 Jan 2024) and Molina 8-K (2 Jan 2024).

May move before use: the share price and peer prices; consensus (Centene reports 27 Oct); short interest (next settlement); the lawsuits; and everything after Alignment's Q3 on 29 October.